Ratan’s expansion plan also saw the company forging new partnerships. In 2000, it tied up with the GVK Reddy Group to establish Taj GVK Hotels and Resorts Limited and carved a prominent place for itself in the southern business city of Hyderabad. Soon, it had three hotels in the city—Taj Krishna, Taj Deccan and Taj Banjara—and captured a major share of the market.

The Three-Year Strategic Plan

Three years after the Ratan–Krishna Kumar team had taken over IHCL’s reins, the company rolled out a strategic plan for the next three years. The plan rested on two pillars. The first was the upgradation of the existing Taj properties in India and its neighbouring countries, Sri Lanka and the Maldives, into niche hotels, focusing on the enhancement of their quality and IT capabilities. Renovation was sorely needed as Kerkar had hardly invested in the upkeep of the hotels. According to Sampath Kumar, former senior vice president, projects, architecture and engineering, IHCL, it was Krishna Kumar in close association with Ratan who brought the hotels back into shape. Ratan was so intimately involved in the project that as an architect, he was asking questions on the renovation that others had not even imagined.

The second pillar of the strategy was augmenting the offerings of the Taj’s luxury hotels in the US and Asia. The US strategy focused on New York, Atlanta and San Francisco. In this effort to restructure and ‘reinvent’ the ‘Taj as a premium brand’ all over the world, the company decided to set up two overseas firms, Taj US and Taj Asia, ‘through strategic alliances’ with foreign companies. While Taj US would focus on the US operations, Taj Asia would focus on the group’s initiatives in Sri Lanka and the Maldives, and in other countries like Australia and Malaysia where IHCL was seeking an entry. In both the companies, Tata would hold ‘more than 51 per cent stake’ and be ‘in charge of managing the hotels’.

There was a particular focus on expanding the operations in the US. ‘These areas fit well with the group’s target of coming up with luxury hotels in business and leisure spots,’ Krishna Kumar felt. Pushing the strategy hard, in 2001 the company made its foray into the Middle East, taking over the management of the Taj Palace Hotel, Dubai. It also launched the Taj